CONCALL TRACKER • Q1-2027 filing

MPS Ltd

An "AI-first knowledge solutions" services company that does the behind-the-scenes production, technology and publishing work for the world's academic publishers, universities, schools and corporate-training buyers. It makes money by charging global "knowledge organisations" for content production, journal & peer-review services, hosting/software platforms, education content, accessibility work and corporate e-learning — almost entirely export/overseas revenue.

Screener ticker: MPSLTD (BSE 532440) | Coverage: first-ever report (no prior quarter) | Latest concall read: Q4 & FY26, held 18 May 2026 | Report date: 25 Jul 2026

1. Snapshot

₹4,705 cr
Market capitalisation
Total value of the company on the market; a small/mid-cap.

₹768 cr
FY26 revenue (consolidated group)
Total group sales, up ~5.7% on FY25 — the slowest growth in a few years, held back by a reset in two divisions.

₹236 cr
FY26 EBITDA (operating profit)
Profit from core operations before interest, tax and depreciation, up ~11.8%; margin 30.7% — a record.

₹173 cr
FY26 net profit (consolidated)
Final bottom-line profit, up 16.3%; EPS ~₹102 — the most profitable year in the company's history.

~38–44%
ROCE / ROE
Return on capital ~38% (group) to ~44% (Screener); ROE ~35%. Very high — it earns a lot on the money it uses.

68.3% / 3.0%
Promoter holding / dividend yield
Promoters own ~68% (steady for years); trailing dividend yield ~3%, though FY26 final dividend was skipped for M&A.

Reading the numbers: This is a high-margin, cash-generative, near-debt-free business (only ~₹57 cr of borrowing, taken in FY26 to fund an acquisition). Note a data quirk: Screener's P&L shows the *standalone* Indian entity (FY26 sales ~₹438 cr, EPS ~₹74), while management reports and runs the business on a *consolidated group* basis (₹768 cr revenue, EPS ~₹102) that includes the overseas subsidiaries. This report uses the consolidated (group) figures management discusses. On group earnings the effective P/E is ~27x; Screener's headline ~33x is on the standalone base.

2. Concall coverage

First-time coverage — a full read of the last ~2 years of calls (FY25 close through all of FY26), plus the acquisition backstory management laid out.

QUARTER	CALL DATE	READ?	ONE-LINE TAKEAWAY
Q4 & FY25	16 May 2025	Yes	Record FY25 (₹727 cr rev); "Vision 2027/2028" targets and AJE turnaround framed; ₹50 dividend.
Q1 FY26	18 Jul 2025	Yes	Soft start (+3.9% rev) but EBITDA +22.5%; segments recast to Research / Education / Corporate Learning.
Q2 FY26	12 Nov 2025	Yes	Rev +9.4% (short of the "20%" promised); Education +52%; Corporate Learning still shrinking.
Q3 FY26	02 Feb 2026	Yes	The "holding quarter" — revenue dipped; CEO "pulled the Andon Cord" on costs; Unbound acquisition announced.
Q4 & FY26 ★	18 May 2026	Yes (freshest)	Record year; strongest quarter (rev ₹205 cr, +12.7%); FY27 guided to cross ₹300 cr EBITDA.

Spans ~5 quarterly calls over two fiscal years. Older acquisitions (HighWire 2020, AJE 2024, Liberate 2023, TOPSIM 2018 etc.) are carried as backstory from what management recapped on these calls.

2b. Latest concall highlights ★ — Q4 & FY26 (call 18 May 2026)

- **Record year, strongest quarter.** FY26 group revenue ₹768 cr (+5.7%), EBITDA ₹236 cr (+11.8%, 30.7% margin), net profit ₹173 cr (+16.3%), EPS ~₹102 — all company records. Q4 alone: revenue ₹205 cr (+12.7%), EBITDA ₹67.5 cr (+20.5%, 32.9% margin), PAT ₹47 cr — meaning sales growth is now dropping through to fatter profit (operating leverage).
- **New hard target for FY27.** Management guided the group to "comfortably cross ₹300 cr EBITDA in FY27" (from ₹236 cr) — a ~27% jump they say is built bottom-up from each division's plan and is "already in flight, not a step-change we're asking you to believe." The longer "Vision 2028" of ~₹1,500 cr revenue is reaffirmed as intact.
- **Unbound Medicine acquisition bedding in.** The US medical/nursing reference business (bought for USD 16.5m, closed 9 Feb 2026) added ₹11.78 cr in its first 50 days; run-rate guided up to USD 0.75–0.95m/month in FY27 with margins climbing toward 25–30%. It brings ~480 institutions with 97% renewal — a recurring, sticky base.
- **Capital return paused for M&A.** For the first time, the Board recommended no final dividend — cash is being redirected into the Unbound deal and a "hyperactive" pipeline of ~35 targets (5 advanced). The 7-year record of ~₹650 cr returned to shareholders is cited as evidence distribution will resume once the deployment cycle closes.

- **Tone: confident, "compounding" year ahead.** CEO Rahul Arora framed FY26 as "the year we proved the operating system works" and FY27 as "the year we compound." AI is pitched as a net tailwind (demand shifting to trusted verification) rather than a threat.

2c. Business mix & geography

Segments (FY26, group): Research Solutions ~₹464 cr (~58–61% of revenue, 39.9% margin) · Education Solutions ~₹209 cr (+36%, 39.2% margin) · Corporate Learning "Liberate Global" ~₹96 cr (–16.5%, the reset division, ~10%).

Domestic vs export: Effectively an all-export/global business — India domestic sales are negligible; revenue comes from overseas knowledge organisations. Geography: North America ~50%, Asia-Pacific ~30%, UK/Europe the rest.

Capacity / scale

Not a plant-based business — "capacity" is people plus software. Headcount ~3,000–3,300 and rising in Research (hired ahead of growth); management explicitly uses AI/automation to grow output *without* proportional headcount, so a plant-style utilization % is not disclosed.

Balance-sheet headroom: near-debt-free (₹57 cr borrowing), ~₹114 cr cash, ₹139 cr operating cash flow in FY26 — comfortable room to fund the M&A plan (they cite ~₹200 cr debt capacity).

3. Earning-trigger thesis ★

The core driver management points to is MPS's shift from a low-margin production "services" shop into an **"AI-first knowledge solutions" company** serving three markets — Research, Education and Corporate Learning — where scaled players win as clients consolidate vendors and demand trusted, AI-enabled workflows. That plays out as **operating leverage (record 30.7% EBITDA margin)** plus a **disciplined M&A engine** (AJE 2024, Unbound 2026), aimed at "Vision 2027" (cross ₹300 cr EBITDA in FY27) and "Vision 2028" (~₹1,500 cr revenue). It is concrete, live and already showing in the numbers.

TRIGGER	WHAT MANAGEMENT SAID	EVIDENCE SO FAR	HORIZON	STRENGTH
Research Solutions compounding	Core production + new Journal Editorial Office / peer-review + integrity/verification (RIC), on DigiCore/HighWire platforms; ~40% margins.	Organic ex-AJE growth 16–23%; FY26 segment margin +330bps to 39.9%. Real delivery.	Now → FY28	Strong
Education scale-up	K-12 + Higher-Ed content, accessibility, translation — all AI-enabled; Unbound bolt-on.	FY26 revenue +36% (organic +29%); accessibility revenue ~tripled. Clear standout.	Now → FY28	Strong
Margin / operating leverage	AI + outsourcing + portfolio cleanup lift group margins.	Record FY26 EBITDA ₹236 cr at 30.7%; Q4 exit 32.9%. Delivered.	Now	Strong
M&A engine (AJE, Unbound, pipeline)	Buy recurring, sticky, high-margin knowledge assets at disciplined valuations; ~₹300–400 cr of deals over 12–18 months.	AJE margins turned 21.7%→30%+; Unbound closed & integrating; 35-target pipeline. But AJE revenue still shrank; new deals unproven.	FY27 → FY28	Moderate
Corporate Learning turnaround	Reset legacy low-margin work, consolidate 3 entities into "Liberate Global", pivot to AI/AR/VR & managed learning services; back to growth from FY27.	FY26 revenue –16.5%; only Q4 turned positive (+2.4%). Turnaround repeatedly pushed out.	FY27+	Weak / unproven

4. Management consistency scorecard

PERIOD / PROMISE	WHAT WAS PROMISED	WHAT ACTUALLY HAPPENED	VERDICT
Vision 2027 / 2028	Cross ₹300 cr EBITDA in FY27; ~₹1,500 cr revenue by FY28. Set FY25, repeated every call.	FY26 EBITDA ₹236 cr; FY27 target reaffirmed and "built bottom-up." On track but requires a big ~27% EBITDA step.	On-track
Record profitability	Margin expansion via AI/outsourcing; "most profitable year."	FY26 delivered record EBITDA margin 30.7% and record PAT/EPS.	Delivered
Q2 FY26 revenue	FY25 & Q1 calls: "Q2 will see a 20% revenue expansion."	Q2 FY26 revenue grew only +9.4%; then Q3 dipped. The specific number was missed.	Missed
Corporate Learning turnaround	Return to growth "from Q2 FY26"; margins to recover.	Revenue kept falling all year; only Q4 turned mildly positive. Turnaround slid to FY27.	Slipping
AJE acquisition (2024)	Turn a loss-making buy profitable; stabilise revenue by FY27; grow B2B.	Margin promise delivered (21.7%→30%+); revenue deliberately shrunk USD 20m→12m — stabilisation still pending.	Partly
Capital-allocation / financing	Return surplus unless deployable; QIP enabling resolution floated (FY25) for large deals.	FY25 paid ₹50 dividend; FY26 skipped it for M&A (consistent principle) — but the QIP idea was later walked back ("no equity in near future"). Some flip-flop.	Partly

Narrative drift: The big-picture story has stayed remarkably steady — Vision 2027/2028 and the "AI-first, trusted-knowledge" thesis have been reaffirmed on every call, and FY26 delivered the promised record profitability. Management is also unusually candid about misses (Q3 called a "stutter", Corporate Learning a "reset", even a Warren-Buffett-mistakes reference). The dings: (1) explicit near-term promises slipped — the Q2 "20%" and the perennially-next-year Corporate Learning turnaround; (2) **heavy leadership rotation** — the management line-up on the call changed almost every quarter (COO Sreenivas TV in/out, CTO dropped, three different Corporate-Learning heads across FY26); (3) an ever-expanding set of AI product names (DigiCore, RIC, Rubriq, Bridge AI, Think365, Unbound Intelligence, MPS Labs Data & AI) that reads as part genuine capability, part narrative escalation; and (4) inconsistent guidance behaviour (gave EPS guidance when Q3 disappointed, then refused it once results improved).

5. Bottom line — two verdicts

Durable earning trigger? → YES. There is a concrete, still-live driver: a high-margin, cash-generative knowledge-services business compounding in its two big engines (Research ~+16–23% organic, Education +36%) with a record 30.7% FY26 EBITDA margin, a genuine AI/verification tailwind, and a credible bottom-up path to ₹300 cr EBITDA in FY27. It is evidenced by results, not just slides. What keeps it from being a slam-dunk is that headline growth is modest (~6% in FY26), the third leg (Corporate Learning) is still broken, and the next leg of growth leans on M&A that must be executed well.

Management consistent? → MAYBE. The through-line is strong and honest: the multi-year Vision has been repeated without wobble across five calls, FY26 delivered the promised record profitability, and management owns its misses openly. But the record on *specific near-term promises* is mixed — the Q2 "20%" was missed and the Corporate Learning turnaround has been pushed out repeatedly — and there is notable leadership churn plus escalating AI branding and stop-start guidance. A capable, candid team that reliably delivers the big picture while over-promising on quarter-level timing. Worth watching: whether FY27 actually crosses ₹300 cr EBITDA, whether Corporate Learning finally grows, and how the Unbound / pipeline acquisitions integrate.

Sources: MPS Ltd earnings-call transcripts (Q4 FY25 through Q4 FY26) and financial snapshot via Screener.in. Consolidated figures are as stated by management on the calls; market-data figures are from Screener. **This is not investment advice. Do your own due diligence.**